Daeduck Electronics (353200 KS)

3Q26 preview: mix today, capacity tomorrow

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BUY (M)

Target price	W200,000 (Up)
Previous target price	W180,000
Current price (Oct 07)	W151,300
Upside potential	32%

Market cap (Wbn)	7,477
Shares outstanding	51,512,444
Avg daily T/O (2M, Wbn)	115
Avg daily volume (2M, shrs)	1,008,182
52-week high/low (won)	190,900 / 30,700
Foreign ownership (%)	16.91%
Dividend yield (%)	1.06%
Major shareholders	Daeduck & others

Stock performance

(%)	1M	3M	12M
Absolute	46.0	29.6	392.8
Relative	50.2	45.9	157.1
Abs (US$)	46.1	47.8	414.7

3Q26 preview: product mix to keep guidance on track

We estimate 3Q26 revenue at W418.2bn (+46.1% YoY, +4.3% QoQ) and OP at W74.9bn (OPM 17.9%), in line with consensus. For memory, continued mix improvement should sustain solid earnings, supported by expanding BT substrate applications, including optical modules and SSD controllers, and the conversion of mobile LPDDR capacity to SOCAMM. For non-memory, large-body substrates for data center switches, which entered mass production in late June, are ramping up with solid yields, supporting strong earnings. As a result, revenue-based FC-BGA utilization is expected to reach the mid-80% range in 3Q26, effectively approaching full capacity. For MLB, capacity expansion is ramping up rapidly, with the revenue share of high-value satellite and networking products expected to increase. Despite unfavorable FX conditions, robust demand has helped offset this through pricing and volume. We therefore expect the company to maintain its original earnings guidance.

LTAs and capacity expansion demonstrate competitiveness

The company is discussing LTAs and advance payments with multiple customers. It has already signed a contract with one customer and received an advance payment. Agreements with the remaining customers are expected to follow. To meet robust customer demand, Daeduck announced an W800bn investment to expand capacity through two disclosures in May and July. Total advance payments under the LTAs could exceed the investment amount. Capacity expansion for both ABF and BT substrates is planned in 1H27. Once the expansion is completed, company-wide annual revenue capacity is expected to rise from W1.6tn to as much as W2.2tn from 2028 onward.

Maintain BUY; raise target price to W200,000

LTA discussions involving customer advance payments are progressing with multiple customers, supported by robust demand. The company's capacity expansion is largely proceeding in a timely manner. Favorable conditions are building across its businesses each quarter, including a shift toward higher-value products amid high utilization, capacity expansions to fulfill LTAs, and a limited financing burden thanks to customer advance payments. The earnings growth trajectory should become clearer heading into 2027. We raise our target price to W200,000, reflecting a higher valuation multiple following share price gains among overseas peers. We maintain BUY.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	418	46.1	4.3	416	0.5
OP	75	206.6	6.6	77	-2.3
Pre-tax net profit	76	164.4	2.0	77	-1.5
Net profit, CI	60	155.9	3.3	63	-5.6
OPM (%)	17.9	+9.4 %pt	+0.4 %pt	18.4	-0.5 %pt
NPM (%)	14.2	+6.1 %pt	-0.2 %pt	15.2	-1.0 %pt

Note: CI = controlling interest

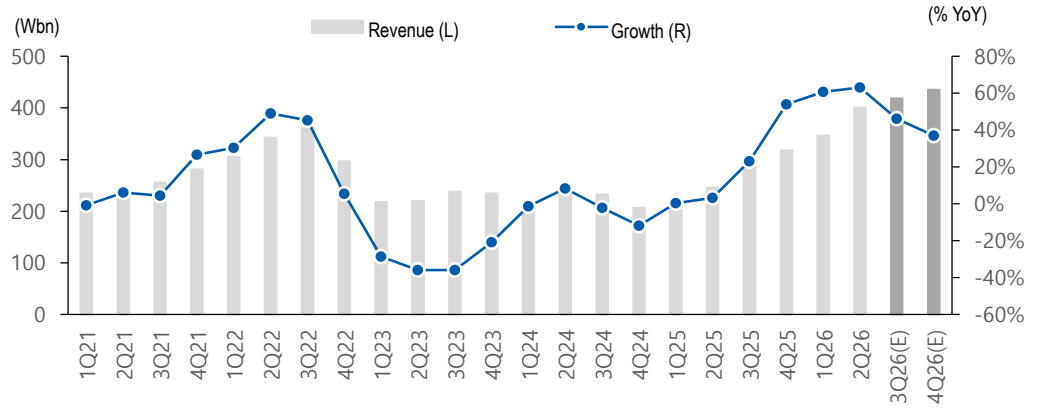
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	892	1,065	1,601	2,010
OP	11	49	268	398
Net profit, CI	24	48	219	316
P/E (x)	45.9	26.3	34.3	23.7
P/B (x)	1.3	1.4	7.1	5.6
EV/EBITDA (x)	6.7	7.1	20.2	13.4
ROE (%)	2.7	5.4	22.0	25.5

Source: Yuanta Securities

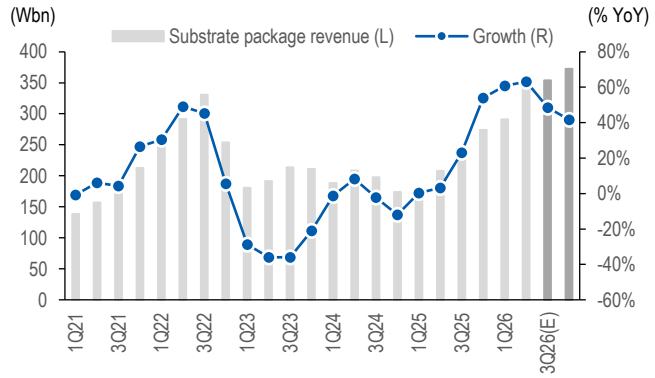
For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Daeduck Electronics: revenue and YoY growth



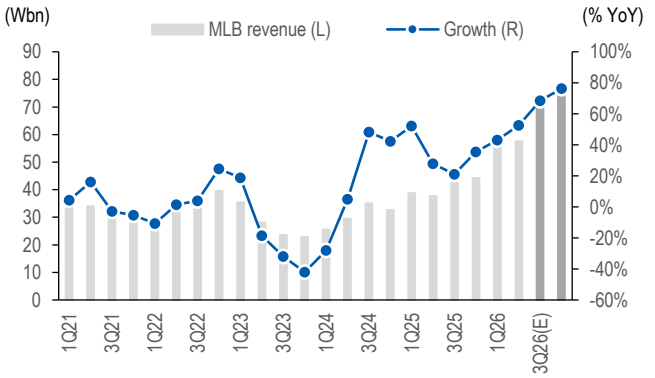
Source: company data, Yuanta Securities

Daeduck Electronics: substrate package revenue, YoY growth



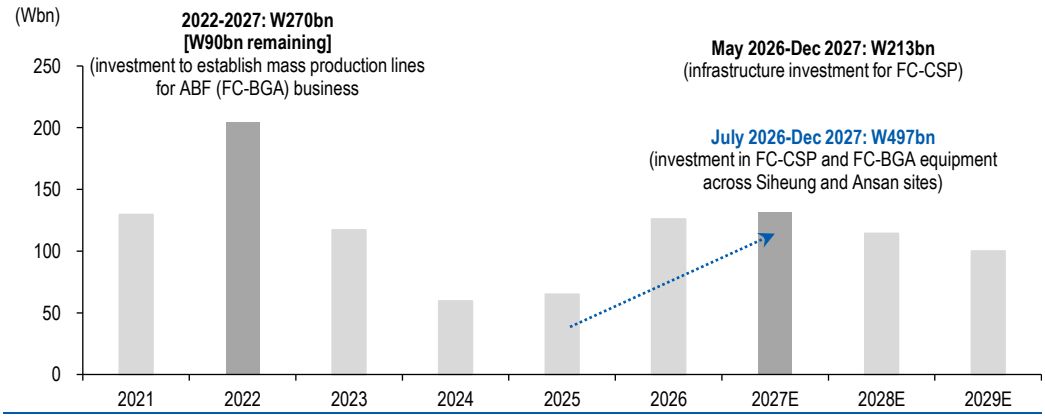
Source: company data, Yuanta Securities

Daeduck Electronics: MLB revenue and YoY growth



Source: company data, Yuanta Securities

Daeduck Electronics: annual capex and details of substrate investments



Source: Bloomberg, company data, Yuanta Securities

Daeduck Electronics: earnings forecast revision

(Wbn)	3Q26E			2026E			2027E		
	New	Old	Diff.	New	Old	Diff.	New	Old	Diff.
Revenue	**418**	**425**	**-6.9**	**1,601**	**1,623**	**-21.8**	**2,010**	**2,055**	**-45.6**
Package substrate	347	354	-6.9	1,339	1,361	-21.8	1,661	1,707	-45.6
MLB	71	71	0.0	262	262	0.0	348	348	0.0
OP	**75**	**80**	**-5.5**	**268**	**286**	**-18.3**	**398**	**435**	**-37.5**
OPM (%)	**17.9%**	**18.9%**	**-1.0%p**	**16.7%**	**17.6%**	**-0.9%p**	**19.8%**	**21.2%**	**-1.4%p**

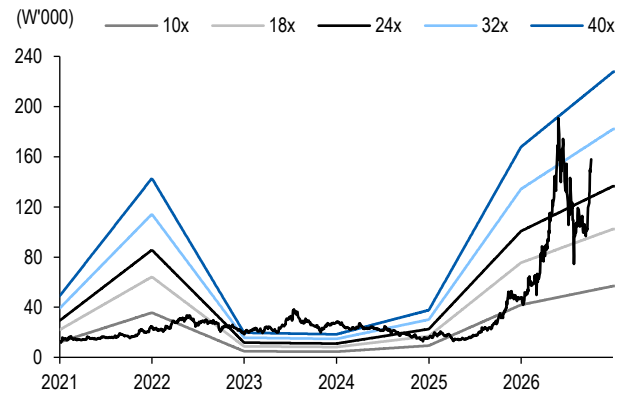
Source: Yuanta Securities

Daeduck Electronics: target price calculation

	Value	Note
EPS (won)	6,376	2027E EPS
Target P/E (x)	**32.1**	**2027E average P/E of Ibiden, Unimicron, Isu Petasys**
Target price (won)	**200,000**	**EPS x target P/E**
Current price (won)	151,300	
Upside (%)	32%	

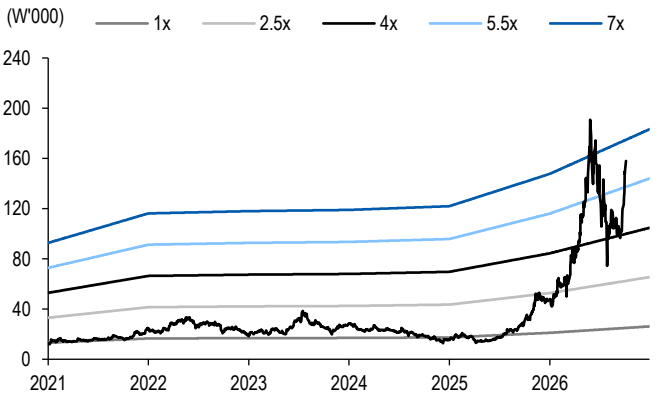
Note: as of Oct 7; source: Yuanta Securities

Daeduck Electronics: 12-month-forward P/E band



Source: FnGuide Quantiwise, Yuanta Securities

Daeduck Electronics: 12-month-forward P/B band



Source: FnGuide Quantiwise, Yuanta Securities

Daeduck Electronics: quarterly earnings trend and forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**215.4**	**245.9**	**286.2**	**317.9**	**346.3**	**401.0**	**418.2**	**435.6**	**1,065.4**	**1,601.1**	**2,009.7**
YoY growth (%)	0.3%	3.2%	23.0%	53.9%	60.8%	63.1%	46.1%	37.0%	19.4%	50.3%	25.5%
QoQ growth (%)	4.3%	14.2%	16.4%	11.1%	8.9%	15.8%	4.3%	4.2%	-	-	-
Package substrate	**176.6**	**207.9**	**243.8**	**273.7**	**290.9**	**343.5**	**346.8**	**357.7**	**902.0**	**1,338.9**	**1,661.4**
YoY growth (%)	-6.3%	-0.3%	23.3%	57.4%	64.7%	65.2%	42.2%	30.7%	17.3%	48.4%	24.1%
QoQ growth (%)	1.6%	17.7%	17.3%	12.3%	6.3%	18.1%	1.0%	3.1%	-	-	-
Memory	101.3	127.1	158.0	160.5	152.8	175.3	171.3	174.7	546.9	674.1	786.2
YoY growth (%)	-13.9%	-1.9%	24.1%	57.4%	50.8%	37.9%	8.4%	8.8%	14.8%	23.3%	16.6%
QoQ growth (%)	-0.7%	25.5%	24.3%	1.6%	-4.8%	14.7%	-2.3%	2.0%	-	-	-
Non-memory	75.3	80.7	85.8	113.2	138.1	168.3	175.5	183.0	355.0	664.9	875.2
YoY growth (%)	6.2%	2.0%	21.9%	57.2%	83.4%	108.6%	104.5%	61.7%	21.4%	87.3%	31.6%
QoQ growth (%)	4.6%	7.2%	6.3%	31.9%	22.0%	21.9%	4.3%	4.3%	-	-	-
MLB	**38.8**	**37.7**	**42.4**	**44.2**	**55.5**	**57.5**	**71.4**	**77.9**	**163.1**	**262.3**	**348.2**
YoY growth (%)	52.2%	27.8%	21.1%	35.6%	43.0%	52.5%	68.5%	76.3%	33.0%	60.8%	32.8%
QoQ growth (%)	19.0%	-2.8%	12.5%	4.2%	25.6%	3.6%	24.2%	9.1%	-	-	-
% in sales (%)											
Package substrate	82%	85%	85%	86%	84%	86%	83%	82%	85%	84%	83%
Memory	47%	52%	55%	50%	44%	44%	41%	40%	51%	42%	39%
Non-memory	35%	33%	30%	36%	40%	42%	42%	42%	33%	42%	44%
MLB	18%	15%	15%	14%	16%	14%	17%	18%	15%	16%	17%
OP	**-6.2**	**1.9**	**24.4**	**29.0**	**51.3**	**70.3**	**74.9**	**71.5**	**49.1**	**268.1**	**397.8**
OPM (%)	**-2.9%**	**0.8%**	**8.5%**	**9.1%**	**14.8%**	**17.5%**	**17.9%**	**16.4%**	**4.6%**	**16.7%**	**19.8%**

Source: Yuanta Securities

Daeduck Electronics (353200 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**892**	**1,065**	**1,601**	**2,010**	**2,311**
Cost of sales	831	957	1,224	1,498	1,687
Gross profit	62	108	377	512	624
SG&A	50	59	109	114	129
Operating profit	**11**	**49**	**268**	**398**	**495**
EBITDA	129	150	359	520	634
Non-operating profit	19	4	16	10	18
Forex gains	10	-5	10	0	0
Net interest income	7	6	5	10	18
Equity-method gains	0	0	0	0	0
Other	2	3	0	0	0
Net prof before income tax	30	53	284	408	513
Income tax	6	6	64	92	96
Net profit from continuing ops	24	48	219	316	417
Net profit from discontinued ops	0	0	0	0	0
Net profit	24	48	219	316	417
NP for controlling interest	**24**	**48**	**219**	**316**	**417**
Total comprehensive income	23	42	222	318	419
Total comprehensive income, CI	23	42	222	318	419

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**466**	**588**	**796**	**1,192**	**1,621**
Cash & cash equivalents	38	34	128	380	689
Accounts receivables & other	135	203	283	344	394
Inventory	101	149	221	268	309
Non-current assets	623	590	634	602	626
Tangible assets	568	536	592	562	588
Investment in affiliates	0	0	0	0	0
Other investment assets	7	7	8	9	9
Total assets	**1,089**	**1,178**	**1,430**	**1,794**	**2,247**
Current liabilities	160	248	292	353	404
Accounts payable & other	103	162	222	269	310
ST financial liabilities	2	34	4	4	4
Liquid LT liabilities	7	7	3	3	3
Non-current liabilities	54	33	45	54	63
LT financial liabilities	7	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**213**	**281**	**336**	**407**	**467**
Equity, controlling interest	876	897	1,094	1,386	1,780
Paid-in capital	26	26	26	26	26
Capital surplus	545	545	545	545	545
Retained earnings	302	325	518	809	1,200
Equity, non-controlling interest	0	0	0	0	0
Total equity	**876**	**897**	**1,094**	**1,386**	**1,780**
Net debt	**-205**	**-187**	**-273**	**-557**	**-894**
Total debt	16	41	8	8	8

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**98**	**72**	**505**	**919**	**1,050**
Net profit	24	48	219	316	417
Depreciation & amortization	113	97	88	120	136
Forex gains	-4	2	-4	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-64	-125	152	451	464
Other	29	49	50	32	32
Investing cash flow	**-116**	**-80**	**-88**	**-121**	**-188**
Investment	-56	-13	0	0	0
Increase in tangible assets	-60	-65	-128	-90	-162
Decrease in tangible assets	2	1	0	0	0
Other	-3	-2	40	-31	-26
Financing cash flow	**-21**	**4**	**-59**	**-26**	**-26**
ST financial liabilities	2	32	-30	0	0
Debenture/LT financial liabilities	-6	-7	-3	0	0
Equity	0	0	0	0	0
Cash dividend	-15	-21	-26	-26	-26
Other cash flow	-1	0	-1	0	0
Consolidation adj and other	0	0	-263	-521	-527
Increase in cash & equivalents	**-38**	**-4**	**94**	**252**	**309**
Beginning cash & equivalents	77	38	34	128	380
Ending cash & equivalents	38	34	128	380	689
NOPLAT	11	49	**268**	**398**	**495**
FCF	**38**	**7**	**377**	**829**	**888**

Valuation

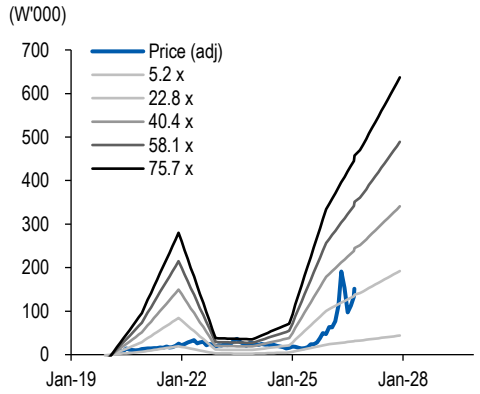
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	464	942	4,416	6,376	8,424
BPS (won)	16,996	17,419	21,237	26,915	34,557
EBITDA/shr (won)	2,498	2,904	6,978	10,101	12,306
SPS (won)	17,319	20,680	31,082	39,014	44,866
DPS (won)	400	500	500	500	500
P/E (x)	**45.9**	**26.3**	**34.3**	**23.7**	**18.0**
P/B (x)	**1.3**	**1.4**	**7.1**	**5.6**	**4.4**
EV/EBITDA (x)	**6.7**	**7.1**	**20.2**	**13.4**	**10.5**
P/S (x)	**1.2**	**1.2**	**4.9**	**3.9**	**3.4**

Key financial data

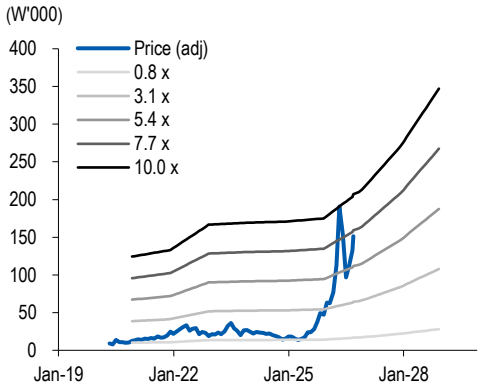
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-1.9**	**19.4**	**50.3**	**25.5**	**15.0**
Operating profit (%YoY)	**-52.6**	**335.7**	**446.3**	**48.4**	**24.5**
Net profit, CI (%YoY)	**-6.4**	**100.3**	**360.6**	**44.2**	**32.0**
Gross margin (%)	6.9	10.2	23.6	25.5	27.0
Operating margin (%)	**1.3**	**4.6**	**16.7**	**19.8**	**21.4**
Net margin, CI (%)	2.7	4.5	13.7	15.7	18.1
EBITDA margin (%)	14.4	14.0	22.4	25.9	27.4
ROIC (%)	1.3	6.4	27.2	36.6	45.6
ROA (%)	2.1	4.2	16.8	19.6	20.7
ROE (%)	**2.7**	**5.4**	**22.0**	**25.5**	**26.4**
Debt-to-equity (%)	24.4	31.3	30.7	29.4	26.2
Net debt-to-equity (%)	-23.4	-20.9	-24.9	-40.2	-50.2
OP/financing cost (x)	16.5	39.8	684.3	1,743.3	2,160.3

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

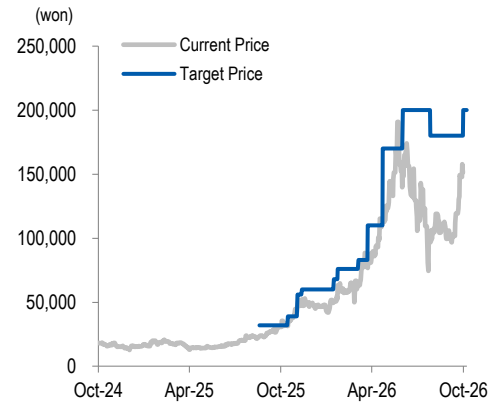
P/E band chart



P/B band chart



Daeduck Electronics (353200 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/08	BUY	200,000	1 yr		
2026/08/03	BUY	180,000	1 yr	-37.71	-12.28
2026/06/09	BUY	200,000	1 yr	-34.53	-12.90
2026/04/30	BUY	170,000	1 yr	-14.55	12.29
2026/03/31	BUY	110,000	1 yr	-14.71	4.91
2026/03/12	BUY	83,000	1 yr	-6.27	6.75
2026/01/30	BUY	76,000	1 yr	-20.32	-12.24
2026/01/22	BUY	68,000	1 yr	-23.82	-19.85
2025/11/19	BUY	60,000	1 yr	-20.57	-11.83
2025/08/26	BUY	32,000	1 yr	-13.41	10.63

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 08, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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